

for the government. So, since 2004, anybody joining government service would have to join the NPS. And so that number is about 8.6 million. Today, we have 13.4 million subscribers, as this was extended to corporations and all citizens later. Also, private sector entities are coming in. The [private sector] subscribers' number is around 4.8 million. While the absolute number would look small, we are seeing significant growth.



Why has the NPS not

taking it. This could not take off partly because of a lack of knowledge of the NPS. However, this is a very flexible and portable scheme. But people think you are locked in once you get into NPS. If somebody joins the NPS, they can make their own choice in selecting the scheme. Since its inception, it has delivered more than 12 per cent per annum in the equity scheme. And even on the corporate debt side, since inception, the scheme has given 9.3 per cent returns. The government scheme has

cent women and 70 per cent men at best, partly because of the structure of our organised employment. It is also partly because of a lack of coverage or the perception that if the head of the family has a pension retirement account, nobody else needs it.

Third, it could be a perception that the NPS is only for the salaried. That's not the case, as we understand. Any professional can opt for the NPS. There are small businesses that can take it, and there is no limit on how much money

some co-operative banks that were traditionally not pushing NPS or APY. You must also know that we have retirement planners in terms of knowledge and outreach. They will train and disseminate information about these pension schemes.



What measures are you taking to promote NPS? How many distributors do you have for NPS currently? Why are they not promoting NPS the way MFs are promoted?

On the corporate side, we are engaging more with human resource departments. On the other side, we are reaching out to people directly through the points of presence (POPs). POPs provide NPS services through their network branches called POP Service Providers (POP-SP). This includes public and private sector banks, fintech companies and NBFCs. Further, we have allowed individual agents and BCs to sell NPS. As of July 31, there were 84 POPs with a total branch network of 88,282.

Paying less commission is not an issue. One of the strengths of NPS is its low cost. It gives you a good return. I don't want to compare it with the cost of the mutual funds. And, globally, it is the lowest-cost pension product. Everything takes time, and so will the NPS. It is a good product; we know it very well. **BT**

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IN NPS, THE GENDER RATIO IS 30 PER CENT WOMEN AND 70 PER CENT MEN AT BEST, PARTLY BECAUSE OF THE NATURE OF ORGANISED EMPLOYMENT, AND PARTLY BECAUSE OF A LACK OF COVERAGE

gained momentum?

There are three reasons. One is to do with corporations. We do not have many corporates coming in. For example, we have apparently 30,500 corporates who have signed up for the NPS, but they are providing NPS as an option to employees and not actively promoting the product. They take up what [other] employers offer—partially because employees go into the default scheme [EPF].

So even if it is given as an option, people are not

given 8.7 per cent since its inception. Talking about the central government scheme, it gives an annual return of 9 per cent.

Secondly, there is a gender imbalance in the NPS. The gender composition is very good in APY, 45 per cent are women and 55 per cent men. You know, in rural and urban areas, the way self-help groups and other groups are driving the APY scheme, obviously, the gender balance is good.

But if you look at NPS, the gender ratio is 30 per

they can put into the NPS.

Partly, we can do so [remedy the situation] through awareness. Partly, it has to be done through handholding. We are also expanding the scope of intermediaries, who could really do the handholding part. Earlier, regional rural banks (RRBs) were doing pretty well in the case of APY or pension plans. But as of now, they're not doing anything on the NPS. Now, we have asked the RRBs to push NPS, too.

We are even asking